

**POST-AWARD CONTRACTOR'S LIMITATIONS
ON SUBCONTRACTING FOR SMALL BUSINESS CERTIFICATION**

From: **Contractor Name, Street Address, City, State, Zip**

To: **Contract Specialist, PWD Great Lakes, Naval Facilities Engineering
Systems Command, Mid-Atlantic, 310 Seabee Way, Bldg. 1-H, Great Lakes, IL
60088**

Subj: Contract No. NXXXXX-XX-X-XXXX

1. Prime contractor is to complete and submit the following for each reporting period specified in the contract or task order limitation of subcontracting clause.

Contract/Task Order Number:

Reporting Period:

Line 1	Total \$ of Contract or Task Order	\$
Line 2	(less materials or ODCs)	(\$)
Line 3	Adjusted value	\$
Line 4	Performed by prime	\$
Line 5	Performed by similarly situated entities	\$
Line 6	Subtotal of Prime and Similarly Situated Entities	\$
Line 7	Performed by Non-Similarly situated entities	\$
Line 8	Percentage of Non-Similarly Situated Entities Performed Work (Line 7 / Line 3) * 100	%
Line 9	Percentage of Prime & Similarly Situated Entities Performed Work (Line 6 / Line 3) * 100	%

2. In accordance with the applicable small business clause(s) and deviations, and 13 CFR 125.6, in the performance of this contract.

☐ In the case of a contract for services (except construction), **your Company Name** has not paid more than 50% of the amount paid by the government for contract performance, to subcontractors that are not similarly situated entities (SSE), excluding certain other direct costs and certain work performed outside the United States, to subcontractors that are not similarly situated entities. When a contract includes both services and supplies, the 50% limitation shall apply only to the service portion of the contract. The following services may be excluded from the 50% limitation:

☐ Other direct costs, to the extent they are not the principal purpose of the acquisition and small business concerns do not provide the service. Examples include airline travel, work performed by a transportation or disposal entity under a contract assigned the environmental remediation NACIS 562910, cloud computing services, or mass media purchases.

☐ Work performed outside the United States on awards made pursuant to the Foreign Assistance Act of 1961, or work performed outside the United States required to be performed by a local contractor.

☐ In the case of a contract for supplies (other than procurement from a nonmanufacturer of such supplies), **your Company Name** has not paid more than 50% of the amount paid by the government to it to firms that are not similarly situated, excluding cost of materials. When a contract includes both supplies and services, the 50% limitation shall apply only to the supply portion of the contract.

☐ In the case of a contract for general construction, **your Company Name** has not paid more than 85% of the amount paid by the government to it to firms that are not similarly situated, cost of materials excluded.

☐ In the case of a contract for construction by special trade contractors, **your Company Name** not paid more than 75% of the amount paid by the government to the prime to firms that are not similarly situated, cost of materials excluded.

In accordance with 13 CFR 125.6(f) (4), the contracting officer may require the contractor to demonstrate its compliance with the limitations of subcontracting at any time during performance and upon completion of a contract. Evidence of compliance includes, but is not limited to, invoices, copies of subcontracts, or a list of the value of tasks performed.

I certify that to the best of my knowledge and belief, the information provided in this report is accurate, complete, and current as of the date of signature.

CONTRACTOR NAME:

SIGNATURE

NAME AND TITLE

DATE

DELETE EXAMPLES BELOW

Example 1 - A competitive 8(a) BD contract is awarded in the total amount of \$10,000,000 for janitorial services. The prime contractor subcontracts \$8,000,000 of the janitorial services to another 8(a) BD certified firm. The prime contractor does not violate the limitation on subcontracting for services because the amount subcontracted to a similarly situated entity is excluded from the limitation on subcontracting.

Line 1	Total \$ of Contract or Task Order	\$10M
Line 2	(less materials or ODCs)	(\$0)
Line 3	Adjusted value	\$10M
Line 4	Performed by prime	\$8M
Line 5	Performed by similarly situated entities	\$2M
Line 6	Subtotal of Prime and Similarly Situated Entities	\$10M
Line 7	Performed/paid to Non-Similarly Situated Entities	\$0
Line 8	Percentage of Prime & Similarly Situated Entities performed work (line 7 / Line 3) * 100	100%
Line 9	Percentage of Prime & Similarly Situated Entities Performed Work (Line 6 / Line 3) * 100	0%

Example 2 - A WOSB set-aside contract is awarded in the total amount of \$1,000,000 for landscaping services. The prime contractor subcontracts \$500,001 to an SDVO SBC subcontractor that is not also a WOSB under the WOSB program. The prime contractor is in violation of the limitation on subcontracting requirement because it has subcontracted more than 50% of the contract amount to an SDVO SBC subcontractor, which is not considered similarly situated to a WOSB prime contractor.

Line 1	Total \$ of Contract or Task Order	\$1M
Line 2	(less materials or ODCs)	(\$0)
Line 3	Adjusted value	\$1M
Line 4	Performed by prime	\$499,999
Line 5	Performed by similarly situated entities	\$0
Line 6	Subtotal of Prime and Similarly Situated Entities	\$499,999
Line 7	Performed/paid to non-similarly situated entities	\$500,001
Line 8	Percentage of Non-similarly Situated Entities Work (line 7 / Line 3) * 100	50.0001%
Line 9	Percentage of Prime & Similarly Situated Entities Performed Work (Line 6 / Line 3) * 100	49.9999%

Example 3 – A procuring activity is acquiring both services and general construction through a small business set-aside. The total value of the requirement is \$10,000,000, with the construction portion comprising \$8,000,000, and the services portion comprising \$2,000,000. The contracting officer appropriately assigns a construction NAICS code to the requirement. The 85% limitation on subcontracting is applicable to this procurement because the services portion of the contract is excluded from consideration. The relevant amount for purposes of calculating the limitation on subcontracting requirement is \$8,000,000. As such, the prime contractor cannot subcontract more than \$6,800,000 to non-similarly situated entities, and the prime and/or similarly situated entities must perform at least \$1,200,000.

Line 1	Total \$ of Contract or Task Order	\$10M
Line 2	(less materials or ODCs)	(\$0)
Line 3	Adjusted value	\$2M SVC \$8M CON
Line 4	Performed by prime	\$0
Line 5	Performed by similarly situated entities	\$1.2M
Line 6	Subtotal of Prime and Similarly Situated Entities	\$1.2M
Line 7	Performed/paid to non-similarly situated entities	\$6.8M
Line 8	Percentage of Non-Similarly Situated Entities Performed Work (line 7 / Line 3) * 100	85%
Line 9	Percentage of Prime & Similarly Situated Entities Performed Work (Line 6 / Line 3) * 100	15%

Example 4 – General construction task order awarded for \$60M through a SBSA IDIQ. The relevant amount for purposes of calculating the limitation on subcontracting requirement is \$25M. The prime contractor cannot subcontract more than \$21,250,000 or 85% to non-similarly situated entities and the prime and/or similarly situated entities must perform at least \$3,740,000. The prime contractor is in violation of the limitation on subcontracting requirement because it has subcontracted more than 85% of the contract amount to a non-similarly situated entity.

Line 1	Total \$ of Contract or Task Order	\$60M
Line 2	(less materials or ODCs)	(\$35M)
Line 3	Adjusted value	\$25M
Line 4	Performed by prime	\$1M
Line 5	Performed by similarly situated entities	\$2M
Line 6	Subtotal of Prime and Similarly Situated Entities	\$3M
Line 7	Performed/paid to non-similarly situated entities	\$22M
Line 8	Percentage of Non-Similarly Situated Entities Performed Work (line 7 / Line 3) * 100	88%
Line 9	Percentage of Prime & Similarly Situated Entities Performed Work (Line 6 / Line 3) * 100	12%